

REPORT TYPE

Financial Statements
Analysis

PERIOD COVERED

FY2021 - FY2025

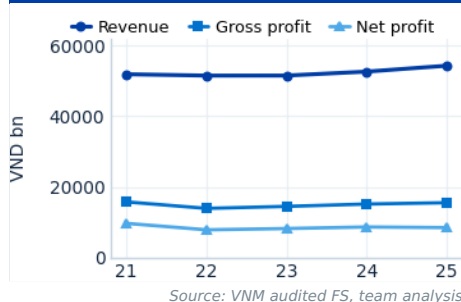
CURRENCY / UNIT

VND billion

DATE OF REPORT

26 September 2026

Fig.01: Income statement trend, 2021-2025
[VND bn]



VNM: Resilient Top Line, Compressed Margins

Vinamilk closed FY2025 with record revenue of VND 54,249 billion (+4.66% vs. 2021) yet a net profit 12.4% below its 2021 level. The five-year record is a textbook case of **top-line resilience with margin compression**: imported milk-powder costs and rising trade-discount intensity absorbed the benefit of volume and price gains. Liquidity and solvency, however, remain comfortable — leaving cost control, not revenue growth, as the binding constraint on earnings recovery.

EXECUTIVE SUMMARY

28.65%

GROSS MARGIN
2025

15.68%

NET MARGIN 2025

23.91%

ROE 2025

1.95x

CURRENT RATIO
2025

Fig.02: YoY change — revenue vs. profit [%]

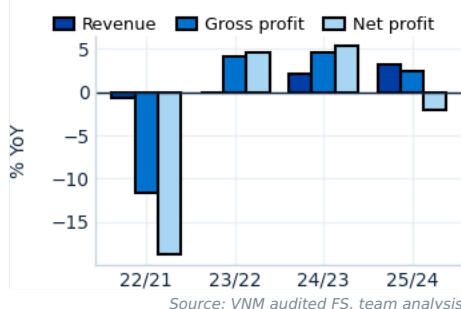
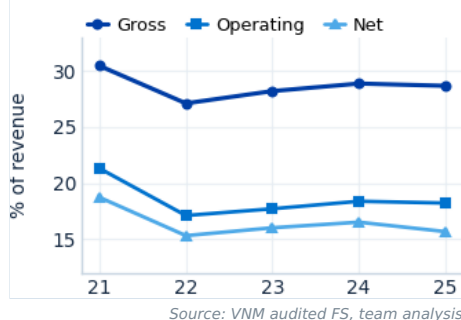


Fig.03: Margin dynamics [% of revenue]



FY2025 SNAPSHOT

Revenue	54,248.8
Gross profit	15,542.1
Net profit	8,505.2
Operating cash flow	8,948.9
Total assets	56,091.5
Total equity	35,569.3

[1] Revenue proved resilient but grew slowly. Net revenue moved within a narrow VND 51,456–54,249 billion band across five years, dipping marginally in 2022 (–0.73%) before compounding at only **1.145% CAGR** to a 2025 peak. This is the signature of a mature, competitive category rather than a growth franchise.

[2] The 2022 cost shock permanently reset the margin base. Gross margin fell from 30.43% (2021) to a five-year trough of 27.09% (2022) as cost of sales jumped from 69.57% to 72.91% of revenue. Net profit fell 18.78% on a revenue decline of just 0.73% — evidence that pricing power could not fully pass through input costs. Margins recovered only partially, settling at 28.65% in 2025.

[3] Earnings quality is high; the profit decline was a genuine cash event. Operating cash flow tracked net profit closely in every year of the window (VND 7,988–9,771 billion vs. net profit of VND 7,885–9,708 billion), confirming that margin compression was economic, not accounting-driven.

[4] The balance sheet carries the business comfortably. Current assets consistently exceeded 63% of total assets and covered current liabilities roughly two times (current ratio 2.11x → 1.95x). Leverage rose only modestly (D/E 0.50x → 0.58x), a deliberate financing choice — supporting ROE at 23–24% — rather than a symptom of distress.

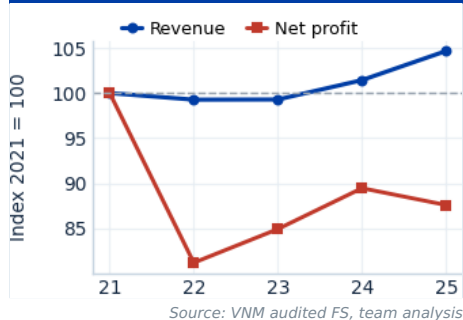
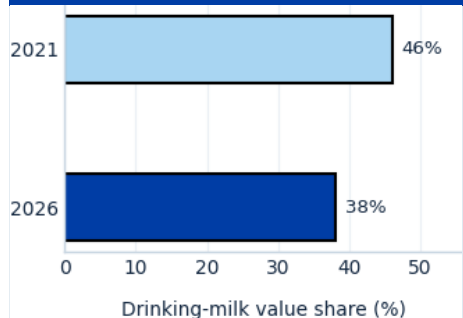
[5] Forward risk is concentrated in input costs, not in the capital structure. Our scenario work shows 2026F net income ranging from a **VND 7,953 billion** profit (Bull) to a **VND 393 billion** loss (Bear), a spread driven almost entirely by gross-margin assumptions. A one-percentage-point move in gross margin shifts earnings before tax by roughly VND 549 billion (~6.2%).

Scope and method

This report analyses Vinamilk's audited consolidated Income Statement, Balance Sheet and Statement of Cash Flows for FY2021–FY2025, applying horizontal analysis (year-over-year change), vertical analysis (common-size to revenue and to total assets) and ratio analysis across liquidity, leverage, efficiency and profitability. Results are then combined with market research on global dairy commodity prices, Vietnam's dairy and FMCG demand, competitive share and FX to build a three-statement forecast under Base, Bull and Bear scenarios, closing with a sensitivity test on the dominant variable.

All underlying data tables appear in the Appendix; external references supporting the macro and industry conditions are listed at the end of the report.

Disclaimer. This report was prepared for academic purposes as a financial statements analysis exercise. It is based on publicly available filings and third-party research believed to be reliable but not independently verified. It does not constitute investment advice, nor an offer or solicitation to buy or sell any security, and should not be considered a professional research report.

Fig.04: Revenue vs. net profit, indexed (2021 = 100)**Fig.05: GDT whole milk powder price, 2026 [US\$/ton]****Fig.06: Drinking-milk value share, VNM [%]****VIETNAM DAIRY MARKET — 2025/26**

Dairy imports (2025)	US\$1.5bn
Import growth vs. 2024	+20%
Consumers	102mn
GDP per capita	US\$5,026
Milk consumption	27 l/person
Market value growth 2026	~4%

BUSINESS DESCRIPTION

Vietnam Dairy Products Joint Stock Company (Vinamilk, HOSE: VNM) is Vietnam's largest dairy producer, operating an integrated model that spans raw-milk farming, processing and nationwide distribution across liquid milk, powdered milk, yoghurt, condensed milk and plant-based lines. Revenue is predominantly domestic, supplemented by export sales and overseas subsidiaries.

The economics of the business are dominated by **input cost**. Because a material share of raw material is imported milk powder, the company's gross margin is structurally exposed to Global Dairy Trade (GDT) auction prices for Whole Milk Powder (WMP) and Skim Milk Powder (SMP). Management's principal structural response has been vertical integration: Shinhan Securities (Feb 2026, citing 2024 data) reports Vinamilk was self-sufficient in roughly **50% of raw fresh-milk input**, with further farm capacity in progress.

Industry conditions shaping the 2021-2025 record**Global dairy commodity prices remain the single biggest swing factor**

GDT pricing has been persistently volatile through 2026: WMP moved from US\$3,706/ton (2 June, -2.2%) to US\$3,589/ton (16 June, -3.1%) and US\$3,486/ton (21 July), before rebounding to US\$3,591/ton on 18 August (+3.0%). Earlier in the year the direction was sharply upward — WMP rose 11% and SMP 18% between the start of 2026 and March (RaboResearch). Supply-side data point to tightening: output from the world's seven largest dairy exporters is forecast to end 2026 only 0.2% above the prior year, versus +2.6% in 2025.

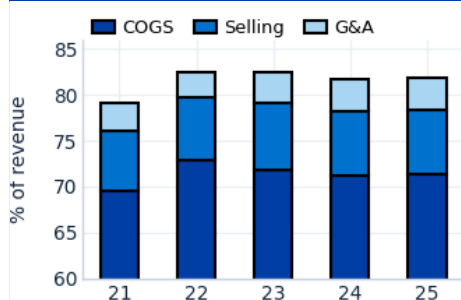
Domestic demand is growing in value but not in volume

Vietnam's dairy market is expected to grow around **4% in value in 2026**, reaching roughly VND 156.1 trillion (Euromonitor). Per-capita milk consumption of 27 litres remains far below Thailand (35), Singapore (45) and European levels (80-100), and national targets aim for 40 litres by 2030 — a long-run volume opportunity. In the near term, however, in-home FMCG demand has softened: average shopping trips per household fell from 145 per year (2019) to 124 (2025), while the number of stores and channels shoppers use rose from 5.3 to 6.0.

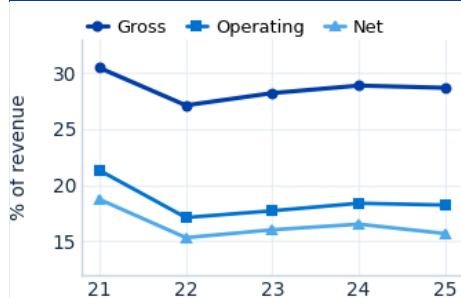
Competitive intensity has eroded share

Vinamilk's value share of drinking-milk products declined from **46% in 2021 to 38% in 2026** under pressure from TH True Milk and Nutifood (Euromonitor). Defending shelf presence has shifted spend from brand advertising toward trade discounting — a mix change with direct consequences for the operating margin discussed in the next sections.

Read-across to the financials. Three industry facts explain most of the five-year financial pattern: (i) imported powder cost volatility sets the gross-margin ceiling; (ii) flat category volume caps revenue growth at low single digits; and (iii) share loss forces promotional intensity, which caps operating-margin recovery even when gross margin stabilises.

Fig.07: Cost structure, common-size [% of revenue]

Source: VNM audited FS, team analysis

Fig.08: Margin dynamics [% of revenue]

Source: VNM audited FS, team analysis

COMMON-SIZE INCOME STATEMENT

COGS/revenue 2021	69.57%
COGS/revenue 2022	72.91%
COGS/revenue 2025	71.35%
Selling exp./revenue 2025	6.97%
G&A/revenue 2025	3.44%
EBIT margin 2025	18.22%

FIVE-YEAR CUMULATIVE CHANGE

Revenue	+4.66%
Cost of sales	+7.34%
Gross profit	-1.48%
Operating result	-10.52%
Net profit	-12.39%

REVENUE, COST AND PROFITABILITY

Over FY2021-FY2025 revenue rose a cumulative **4.66%**, from VND 51,834 billion to VND 54,249 billion. The path was not linear: revenue slipped 0.73% in 2022, was essentially unchanged in 2023 (+0.02%), then re-accelerated to +2.16% in 2024 and +3.18% in 2025. Cost of sales rose faster over the same window (+7.34%), which is the arithmetic source of the margin problem.

Gross margin: a 2022 break that was never fully repaired

Gross margin fell from **30.43% in 2021 to 27.09% in 2022** — a 334 basis-point contraction and the sharpest single-year move in the window. Gross profit fell 11.65% while revenue was flat, meaning virtually the entire decline came from input cost rather than volume. The subsequent recovery was real but partial: 28.18% (2023), 28.85% (2024) and 28.65% (2025), leaving margin 178 bps below the 2021 starting point.

The recovery mechanism matters. Revenue gains, not absolute cost reduction, drove the improvement — cost of sales as a share of revenue only eased from 72.91% to 71.35%, remaining well above the 69.57% of 2021. Rising fresh-milk self-sufficiency helped stabilise the ratio but did not restore it.

Operating expenses: contained lines, shifting mix

Selling expenses stayed within a tight 6.44%–7.28% of revenue band and G&A within 2.68%–3.44%. On the reported lines, therefore, operating discipline held. The pressure came from *within* the commercial spend envelope: broker research indicates marketing cost fell from roughly 4.0% to 1.8% of revenue by 2024 while discount and trade-promotion expense rose toward 15.1% of the relevant base (FiinGroup). Forward analyst estimates converge on SG&A/revenue of ~24.5%–24.7% on a broader definition that includes distribution and trade discounts.

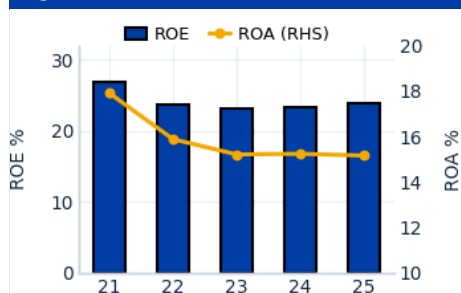
Operating and net margin

Operating margin (EBIT) fell from **21.31% (2021) to 17.11% (2022)**, recovered to 18.38% in 2024 and eased to 18.22% in 2025 — a 309 bps shortfall against 2021. Net margin followed the same shape: 18.73% → 15.32% → 15.68%. Net profit in absolute terms ended the period at VND 8,505 billion, 12.39% below the VND 9,708 billion of 2021, despite revenue reaching a five-year high.

Common-size / VND bn	2021	2022	2023	2024	2025
Revenue	51,834	51,456	51,465	52,577	54,249
Cost of sales / revenue	69.57%	72.91%	71.82%	71.15%	71.35%
Gross margin	30.43%	27.09%	28.18%	28.85%	28.65%
Selling expenses / revenue	6.44%	6.80%	7.28%	7.09%	6.97%
G&A / revenue	3.10%	2.68%	3.38%	3.39%	3.44%
Operating (EBIT) margin	21.31%	17.11%	17.71%	18.38%	18.22%
Net profit margin	18.73%	15.32%	16.02%	16.52%	15.68%

Source: Vinamilk audited consolidated financial statements; team calculations at full formula precision.

Fig.09: ROE and ROA, 2021-2025 [%]



Source: VNM audited FS, team analysis

Fig.10: Asset turnover [x]



Source: VNM audited FS, team analysis

DUPONT COMPONENTS

Net margin 2021 → 2025	18.73% → 15.68%
Asset turnover 2021 → 2025	0.956x → 0.967x
Equity multiplier 2021	1.50x
Equity multiplier 2025	1.58x
ROE 2021 → 2025	26.84% → 23.91%

Key read. ROE held in the 23–24% range only because leverage and asset productivity offset a 305 bps fall in net margin. The engine of returns weakened; the structure compensated.

RETURN ON ASSETS AND EQUITY

Return on assets fell from **17.90% in 2021** to 15.88% in 2022 and then flattened in a narrow 15.16%–15.24% band through 2025. Because total assets were broadly stable between VND 49,653 billion and VND 56,993 billion across the period, the failure to regain the 2021 level is attributable almost entirely to lower net profit rather than to balance-sheet inflation.

Return on equity compressed from a peak of **26.84% (2021)** to 23.61% (2022) and then stabilised between 23.05% and 23.91%. Notably, ROE in 2025 (23.91%) was slightly *higher* than in 2023 (23.05%) even though net profit was lower — a direct consequence of a smaller equity base and higher leverage rather than improved operating performance.

DuPont decomposition: ROE = net margin × asset turnover × equity multiplier

DuPont component	2021	2022	2023	2024	2025
Net profit margin	18.73%	15.32%	16.02%	16.52%	15.68%
Asset turnover (x)	0.956	1.036	0.949	0.923	0.967
Equity multiplier (x)	1.500	1.487	1.516	1.533	1.577
ROE (product)	26.84%	23.61%	23.05%	23.37%	23.91%

Source: team calculations from Vinamilk audited FS. Equity multiplier = total assets / total equity.

The decomposition isolates the problem cleanly. **Net margin is the only deteriorating component**, falling 305 bps over five years. Asset turnover ended essentially where it began (0.956x → 0.967x), having spiked to 1.036x in 2022 when the asset base contracted faster than sales. The equity multiplier rose steadily from 1.500x to 1.577x as liabilities grew 13.6% against a 1.67% *decline* in equity.

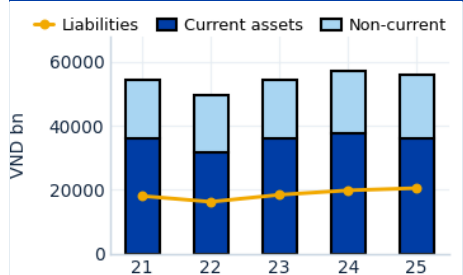
In other words, roughly the entire defence of ROE came from the financing and asset-efficiency legs of the identity. Had leverage and turnover been held at 2021 levels, 2025 ROE would have landed close to 22.5% rather than 23.91%. The quality of the return therefore declined even as the headline number appeared stable.

Why equity shrank

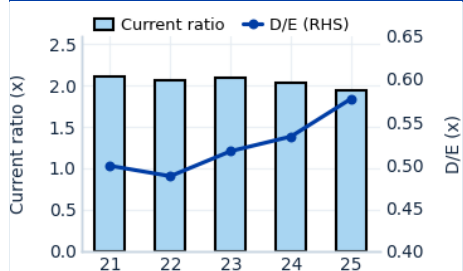
Total equity fell from VND 36,172 billion (2021) to VND 35,569 billion (2025) — a 1.67% contraction across a period of continuous profitability. The explanation lies in distribution policy: the company maintains a dividend payout of not less than 50% of net profit (Vinamilk AGM resolutions, 2026). Sustained high payout, combined with share buy-back and financing outflows visible in the cash flow statement, returned capital to shareholders faster than retained earnings accumulated — mechanically supporting ROE while limiting the equity cushion available to fund growth internally.

Efficiency

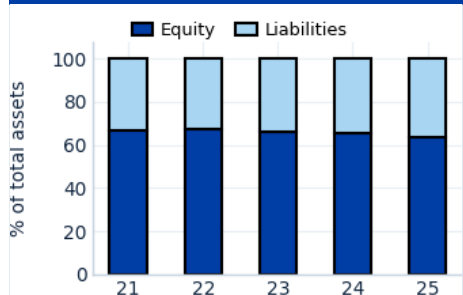
Asset turnover of 0.967x in 2025 means each dong of assets generated just under one dong of revenue. For a capital-intensive dairy processor carrying farm assets, this is a reasonable level, but the absence of improvement over five years — despite capital expenditure into farms — indicates that new capacity has not yet translated into proportionate incremental sales.

Fig.11: Asset base and total liabilities [VND bn]

Source: VNM audited FS, team analysis

Fig.12: Liquidity and financial leverage

Source: VNM audited FS, team analysis

Fig.13: Capital structure, common-size [% of assets]

Source: VNM audited FS, team analysis

BALANCE SHEET STRUCTURE

Total assets moved within a VND 49,653–56,993 billion range, contracting 8.45% in 2022 before rebuilding through 2023–2024 and easing 1.58% in 2025 to VND 56,092 billion. Current assets consistently represented between **63.5% and 66.5% of total assets**, roughly double the non-current base — an asset profile weighted toward short-term resources such as inventory, receivables and short-term financial investments.

This composition supports liquidity, but its quality warrants attention: a high current-asset share is only a strength to the extent that inventory turns and receivables collect. Given flat category volume and rising promotional intensity, inventory and trade receivable quality is the item to monitor most closely in future filings.

Liquidity remains comfortable

The current ratio declined gradually from **2.114x (2021) to 1.946x (2025)**. Even at the low point, current assets covered current liabilities nearly twice over — a substantial cushion by any industrial standard. The decline is explained by current liabilities growing 9.03% over the period against a 0.37% increase in current assets, not by any deterioration in cash generation.

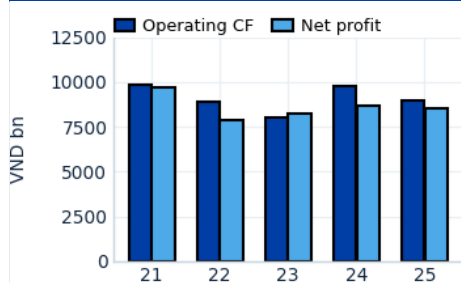
Leverage rose, but from a conservative base

Debt-to-equity rose from **0.499x to 0.577x**. Decomposing the move: total liabilities grew 13.60% (with non-current liabilities nearly doubling, +91.5%, from VND 1,002 billion to VND 1,919 billion) while equity fell 1.67%. Both sides of the ratio therefore contributed. Even so, equity still funds 63.4% of the balance sheet in 2025, down only modestly from 66.7% in 2021.

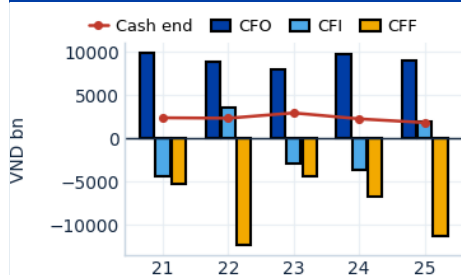
The interpretation is one of **financial flexibility rather than financial stress**. The company has deliberately used modest leverage to fund working capital and capital expenditure while sustaining a high dividend, and it retains ample headroom to raise short-term bank financing should a downturn require it. A secondary consequence, noted in the vertical analysis, is that the historically low debt level has meant limited use of the interest tax shield.

Balance sheet (VND bn)	2021	2022	2023	2024	2025
Current assets	36,072	31,513	35,931	37,502	36,207
Non-current assets	18,165	18,139	18,301	19,492	19,885
Total assets	54,237	49,653	54,232	56,993	56,092
Current liabilities	17,063	15,302	17,182	18,500	18,603
Non-current liabilities	1,002	961	1,266	1,327	1,919
Total liabilities	18,065	16,263	18,449	19,827	20,522
Total equity	36,172	33,390	35,784	37,167	35,569
Current ratio (x)	2.114	2.059	2.091	2.027	1.946
Debt-to-equity (x)	0.499	0.487	0.516	0.533	0.577

Source: Vinamilk audited consolidated balance sheet; team calculations.

Fig.14: Operating cash flow vs. net profit
[VND bn]

Source: VNM audited FS, team analysis

Fig.15: Cash flow composition and closing cash
[VND bn]

Source: VNM audited FS, team analysis

CASH CONVERSION

CFO / net profit 2021	1.02x
CFO / net profit 2022	1.12x
CFO / net profit 2023	0.97x
CFO / net profit 2024	1.12x
CFO / net profit 2025	1.05x
Closing cash 2025	1,794.9

CASH FLOW ANALYSIS**Operating cash flow confirms the quality of earnings**

Net cash from operating activities remained positive and substantial in every year, ranging from **VND 7,988 billion to VND 9,771 billion**. Critically, it moved in close lockstep with net profit, including through the shared 2022 trough. The CFO-to-net-profit ratio stayed between 0.97x and 1.12x across the five years, averaging 1.06x. Profits were therefore converted into cash almost one-for-one — the earnings decline of 2022 was a real economic event, not an accrual artefact.

That said, CFO of VND 8,949 billion in 2025 was 9.26% below the 2021 level even though revenue reached a record. This reinforces the central finding: revenue growth did not convert into cash-flow growth because margin, not volume, is the constraint.

Investing activities swing with portfolio decisions, not just capex

Investing cash flow alternated in sign — an outflow of VND 4,338 billion (2021), an inflow of VND 3,473 billion (2022), outflows in 2023 (VND 2,989 billion) and 2024 (VND 3,739 billion), and an inflow of VND 1,976 billion in 2025. The positive years reflect the maturity or withdrawal of short-term financial investments rather than a reversal of capital spending, which continued into farm and processing capacity.

Financing outflows are the reason cash keeps falling

Financing activities were a persistent and large drain: VND 5,282 billion (2021), VND 12,387 billion (2022), VND 4,361 billion (2023), VND 6,726 billion (2024) and VND 11,362 billion (2025). In 2022 and 2025 the outflow exceeded operating cash flow — equivalent to roughly 140% and 127% of CFO respectively — driven by dividend payments (policy of not less than 50% of net profit), debt repayment and share transactions.

The arithmetic consequence is a steadily declining cash balance: closing cash fell from VND 2,349 billion (2021) to **VND 1,795 billion (2025)**, a 23.58% decline. Three of the five years recorded a negative net change in cash.

Interpretation. This is a shareholder-return profile, not a distress profile. The company is deliberately distributing substantially all of its free cash flow. The trade-off is a thinner cash buffer — which is why the Bear scenario's projected cash deficit (page 9) deserves attention despite the strong current ratio.

Cash flow (VND bn)	2021	2022	2023	2024	2025
Net profit	9,708	7,885	8,247	8,686	8,505
Operating cash flow	9,862	8,854	7,988	9,771	8,949
Investing cash flow	(4,338)	3,473	(2,989)	(3,739)	1,976
Financing cash flow	(5,282)	(12,387)	(4,361)	(6,726)	(11,362)
Net change in cash	241	(60)	639	(694)	(437)
Closing cash	2,349	2,300	2,912	2,226	1,795

Source: Vinamilk audited consolidated statement of cash flows; team calculations.

Fig.16: GDT whole milk powder price, 2026 [US\$/ton]

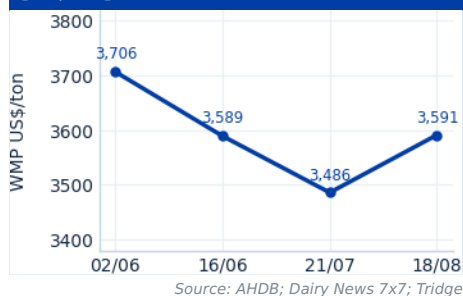
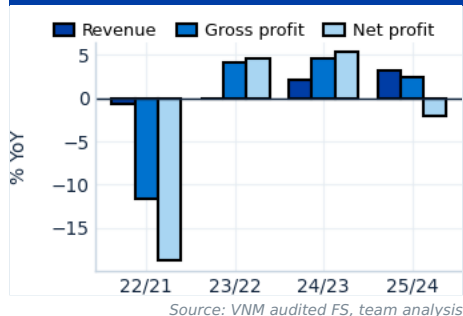


Fig.17: YoY change — revenue vs. profit [%]



STRUCTURAL OFFSETS

Fresh-milk self-sufficiency	~50%
Mộc Châu farm	4,000 cows
Tây Ninh Farm 2	8,000 cows
Tây Ninh investment	VND 1,600bn
Self-sufficiency uplift	~+10 ppt
Bình Định farm	4,000 cows

WHY THE MARGINS MOVED: YEAR BY YEAR

2021 — gross margin at its peak (30.43%), pressure building

Global dairy prices rose sharply through the year, but the increase had not yet fully passed into Vinamilk's cost of sales because of import and inventory lags. Domestically, dairy remained one of the stronger FMCG categories as households prioritised essentials during pandemic restrictions. The combination of lagged input cost and resilient demand produced the five-year margin high.

2022 — the trough (27.09%)

This is the year the input-cost shock landed in full. Cost of sales jumped to 72.91% of revenue. At the same time domestic FMCG value growth was driven by price increases rather than volume, with dairy volumes declining as post-stockpiling demand normalised. Unable to pass the full cost increase through to a softening consumer, Vinamilk absorbed it in margin: gross profit -11.65%, net profit -18.78%, on revenue of -0.73%.

2023 — partial recovery in gross margin (28.18%), net margin still weak (16.02%)

Commodity pressure eased from the 2022 peak, lifting gross margin 109 bps. But the consumer environment deteriorated: Vietnam's GDP growth slowed and household financial stress was elevated. Vinamilk defended volume through promotions and discounts rather than price increases, which is why net margin recovered only 70 bps and G&A/revenue jumped from 2.68% to 3.38%.

2024 — best operating margin since 2021 (18.38%)

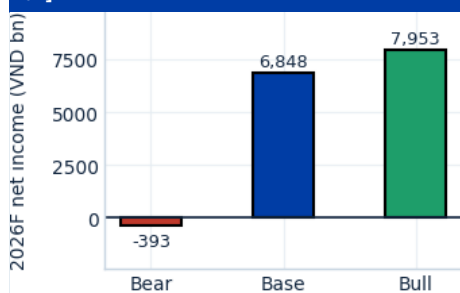
A stronger macro backdrop and improved consumer confidence allowed marketing spend to be reduced (marketing cost/revenue falling from ~4.0% to ~1.8%) without sacrificing operating performance. Gross margin reached 28.85%, its post-2021 high, and selling expenses eased to 7.09% of revenue. Category volume nonetheless remained soft as spending shifted toward out-of-home consumption.

2025 — margins ease despite record revenue (18.22% / 15.68%)

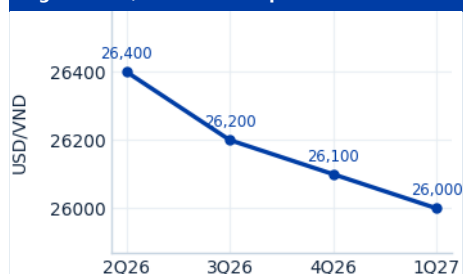
Revenue hit a five-year high of VND 54,249 billion, yet operating and net margins both slipped. FMCG spending in major cities grew largely on price while volumes declined, so the revenue gain was not margin-accretive. Cost of sales ticked back up to 71.35% of revenue and G&A reached its five-year high at 3.44%. The result is the clearest illustration of the macro-consumption disconnect: strong headline economic growth did not translate into stronger essential-goods spending.

The structural offset: vertical integration

Against this commodity exposure, Vinamilk has been raising internal raw-milk supply — approximately 50% self-sufficiency on 2024 data, with Tây Ninh Farm 2 (8,000 cows, ~VND 1,600 billion) expected to add roughly 10 percentage points, alongside Mộc Châu (4,000 cows) and Bình Định (4,000 cows). Greater self-supply reduces exposure to imported WMP/SMP and is the main reason gross margin *stabilised* in the 28.2%–28.9% band rather than continuing to deteriorate under renewed global price pressure.

Fig.18: 2026F net income by scenario [VND bn]

Source: Team model

Fig.19: USD/VND forecast path

Source: UOB Global Outlook 2Q2026

MODEL ANCHORS

Base year revenue (2025)	54,248.8
Income tax rate	20%
D&A assumption	2,000
Historic revenue CAGR	1.145%
Industry CAGR (long-run)	9.5%
FY26 capex plan	4,128

ASSUMPTION FRAMEWORK

Input assumption (FY2026F)	Base	Bull	Bear
Revenue growth	1.145%	5.3225%	1.96%
Gross margin	40.2%	41.9%	27.09%
SG&A / revenue	24.6%	24.5%	27.8%
Annual capex (VND bn)	4,128	4,778	2,988

Source: team assumptions built from VNM historical FS and broker research (VDSC, KBSV, VPBankS, SSI, VNDirect, IMARC).

Base case — justification

Revenue growth of **1.145%** is the company's own realised five-year CAGR (VND 51,834 billion in 2021 to VND 54,249 billion in 2025). Using the historical rate rather than a broker target builds a margin of safety appropriate to a mature category. Gross margin of **40.2%** is the average of the two most recent reported quarters (Q4/2024 at 40.1% and Q1/2025 at 40.3%), capturing the recent stabilisation of raw material input cost (Viet Dragon Securities, 2025). SG&A/revenue of **24.6%** follows KB Securities' (2025) operating-efficiency expectation, and capex of **VND 4,128 billion** matches the officially announced FY2026 budget (VPBank Securities, 2026).

Bull case — narrative

The optimistic case assumes favourable industry momentum, easing input costs and accelerated capacity build. Revenue growth of **5.3225%** is the simple average of the historical baseline (1.145%) and the long-run Vietnamese dairy industry CAGR of 9.5% (IMARC Group, 2024). Gross margin rises to **41.9%**, the best recent quarterly level observed (Q1/2024), made possible by the observed WMP declines of 2.2% (to US\$3,706/ton) and 3.1% (to US\$3,589/ton). SG&A/revenue is held at **24.5%** — barely below Base — because competitive intensity still requires trade support to defend share. Capex rises to **VND 4,778 billion** as the company pulls forward roughly VND 650 billion of Tây Ninh farm spend from FY2027 into FY2026 to accelerate self-sufficiency beyond the current ~50%.

Bear case — narrative

The conservative case combines weak demand, share loss and a commodity spike. Revenue growth falls to **1.96%**, consistent with SSI Research's (2025) implied FY2025→FY2026 trajectory, reflecting soft FMCG demand and continued share loss to TH True Milk and Nutifood. Gross margin reverts to the 2022 trough of **27.09%** as global powder prices spike. Defending a shrinking share forces trade discounts and promotions higher, lifting SG&A/revenue to **27.8%** — the peak level recorded in Q1/2025. Facing both operating and financing constraints, management trims capex to **VND 2,988 billion**, benchmarked to the net investing cash outflow recorded in 2023.

Note on the gross-margin definitions. The Base and Bull gross margins (40.2% / 41.9%) are stated on the broker-reported basis used in quarterly updates, and the corresponding SG&A/revenue of ~24.5%–24.6% is likewise a broader definition that includes distribution and trade discounts. The Bear case anchors to the 27.09% statutory gross margin of 2022. The two bases are not directly comparable line-for-line; each scenario is internally consistent.

Fig.20: 2026F net income by scenario [VND bn]**Fig.21: 2026F net cash generated by scenario [VND bn]****SPREAD, BULL VS. BEAR**

Revenue spread	1,824.1
Net income spread	8,346.1
Net cash spread	6,556.1
Gross margin spread	14.8 ppt

PROJECTED OUTCOMES, FY2026F

Income statement (VND bn)	Base	Bull	Bear
Revenue	54,870.08	57,136.22	55,312.11
Cost of goods sold	32,812.31	33,196.14	40,328.06
SG&A expenses	13,498.04	13,998.37	15,376.77
Net income (after 20% tax)	6,847.78	7,953.37	(392.72)
CASH FLOW			
Depreciation & amortisation	2,000.00	2,000.00	2,000.00
Capital expenditure	(4,128.00)	(4,778.00)	(2,988.00)
Net cash generated	4,719.78	5,175.37	(1,380.72)
BALANCE SHEET EFFECT			
Change in PP&E	+4,128.00	+4,778.00	+2,988.00
Change in retained earnings	+6,847.78	+7,953.37	(392.72)
Change in cash	+4,719.78	+5,175.37	(1,380.72)

Source: Team three-statement model. Bear case assumes no tax expense is incurred given the pre-tax loss position.

Profitability and cash flow: the spread is enormous

The gap between best and worst case is stark. The Bull case delivers net profit of **VND 7,953 billion** and a comfortable cash surplus of VND 5,175 billion. The Bear case produces a **net loss of VND 393 billion** and a cash deficit of VND 1,381 billion. The spread of VND 8,346 billion in net income arises from a revenue difference of only VND 1,824 billion — the result is driven overwhelmingly by the cost assumptions, not the demand assumptions.

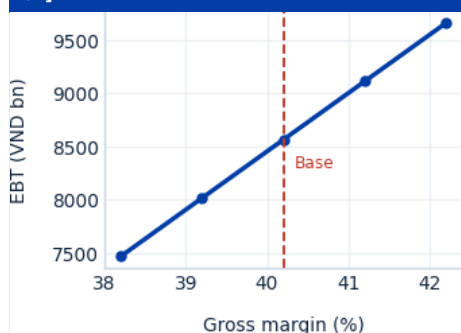
This asymmetry is the most important output of the model. It quantifies what the historical analysis implied: Vinamilk's earnings are a leveraged bet on input cost and promotional intensity, with revenue growth playing only a secondary role.

Financial resilience: the balance sheet absorbs the downside

Even in the Bear case, financial distress is unlikely. Historical data shows a current ratio of 1.946x in 2025, with current assets nearly double short-term liabilities, and D/E of only 0.577x. With this level of unused debt capacity, the projected VND 1,381 billion cash shortfall could be covered by short-term bank facilities without threatening solvency — particularly since Bear-case capex is already reduced to VND 2,988 billion.

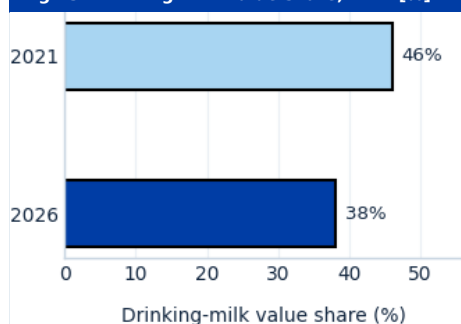
Two caveats qualify that comfort. First, closing cash has already fallen 23.58% over five years to VND 1,795 billion, so the internal buffer alone would not absorb the full deficit. Second, a loss year would collide with the $\geq 50\%$ dividend policy, forcing a choice between maintaining the distribution and preserving the cash position.

Fig.22: EBT sensitivity to gross margin [VND bn]



Source: Team model, Base case

Fig.23: Drinking-milk value share, VNM [%]



Source: Euromonitor

FINANCIAL BUFFER

Current ratio 2025	1.946x
D/E 2025	0.577x
Equity / total assets	63.4%
Avg. CFO 2021–25	9,084.7
Bear-case deficit	(1,380.7)

QUALITATIVE RISK ASSESSMENT**[R1] Commodity and FX risk**

Global milk powder prices (WMP and SMP) remain volatile and difficult to predict, influenced by supply conditions among major exporters. The USD/VND exchange rate is forecast to be broadly stable and in fact to ease slightly — from 26,400 in 2Q2026 to 26,100 in 4Q2026 and 26,000 in 1Q2027 (UOB) — which removes one source of pressure. Nevertheless, because Vinamilk still imports a large volume of milk powder, any sudden FX shock would erode margins directly. *Impact: high. Likelihood: moderate.*

[R2] Competition and innovation risk

Value share has already fallen from 46% to 38%. The defence rests on innovation — new packaging, premium certifications such as Clean Label and Taste Award, and expanded modern-trade distribution, which helped Green Farm fresh milk revenue grow more than 50%. Should these initiatives fail to hold consumer interest, SG&A will become a permanent drag on net profit rather than a temporary investment. *Impact: high. Likelihood: moderate-to-high.*

[R3] Operating cost inflation

Defending share under competitive pressure requires higher trade discounts and promotion spend. In the Bear case this pushes SG&A/revenue from 24.6% to a peak of 27.8% — a 320 bps drag that, on its own, would consume roughly VND 1,770 billion of operating profit at 2026F revenue levels. *Impact: high. Likelihood: moderate.*

[R4] Cash deficit risk

If cost and competitive risks materialise simultaneously, the Bear case produces a net cash outflow of **VND 1,380.72 billion**, drawing down an already-reduced cash reserve of VND 1,795 billion. *Impact: moderate. Likelihood: low-to-moderate.*

SENSITIVITY ANALYSIS

Applying a one-percentage-point reduction in gross margin to the Base case — from 40.2% to 39.2% — reduces earnings before tax by approximately **VND 549 billion**, a decline of roughly **6.2%**. The relationship is close to linear across the tested range, as shown in Fig. 22.

Gross margin (Base case)	38.2%	39.2%	40.2%	41.2%	42.2%
Earnings before tax (VND bn)	7,462	8,011	8,560	9,108	9,657
Change vs. Base	-12.8%	-6.4%	—	+6.4%	+12.8%

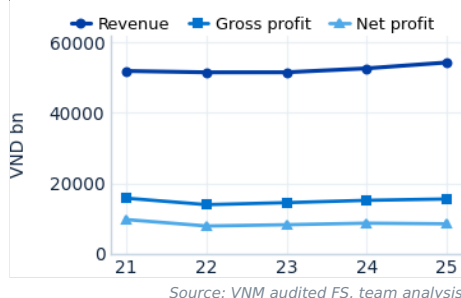
Source: Team model. Each 1 ppt of gross margin ≈ VND 549 billion of EBT at Base-case revenue of VND 54,870 billion.

This magnitude demonstrates that Vinamilk's profitability is highly sensitive to input-cost fluctuation and, by extension, that the herd-expansion programme at Mộc Châu, Tây Ninh and Bình Định is not a discretionary growth project but a **margin-defence necessity**. Each additional percentage point of fresh-milk self-sufficiency permanently reduces the share of the cost base exposed to GDT auction prices.

Financial buffer

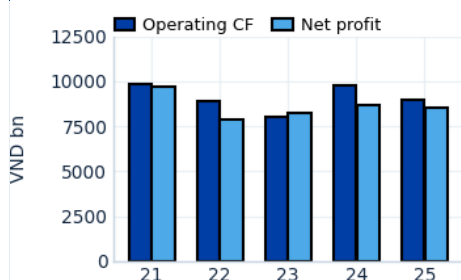
Despite the model's high sensitivity, financial risk remains low for two reasons. First, the current ratio of 1.946x means current assets nearly double current liabilities. Second, D/E of 0.577x reflects minimal debt leverage, so Vinamilk could readily raise short-term bank funding to cover the VND 1,380.72 billion Bear-case deficit without risking financial distress.

Fig.24: Income statement trend [VND bn]



Source: VNM audited FS, team analysis

Fig.25: Operating cash flow vs. net profit [VND bn]



Source: VNM audited FS, team analysis

FIVE-YEAR VERDICT

Revenue trajectory	Resilient
Margin trajectory	Compressed
Earnings quality	High
Liquidity	Strong
Leverage	Conservative
Key priority	Cost control

OVERALL ASSESSMENT

Across FY2021–FY2025 Vinamilk maintained a sound financial condition with excellent cash-generating ability, but was unable to grow net profit in line with revenue because cost of sales rose faster as a proportion of revenue. The 2022 financial year is the pivot of the whole period: a dramatic fall in the bottom line despite almost stagnant sales, from which margins recovered only partially.

Earnings quality is high. The tight correlation between operating cash flow (VND 7,988–9,771 billion per year) and net profit confirms that reported profit is converted into cash. The balance sheet is conservative: current assets exceed 63% of total assets, the current ratio remains near 1.95x, and the increase in leverage (D/E 0.50x → 0.58x) is a modest, deliberate choice that has supported ROE at 23–24% rather than a warning sign.

High operating cash flows have been directed toward debt repayment and a dividend policy of not less than 50% of net profit, making financing cash flows persistently negative and gradually reducing the cash balance from VND 2,349 billion to VND 1,795 billion. Vinamilk is therefore close to free of liquidity risk, with **cost management to restore profit margins as the main business priority**.

What to monitor

- **Gross margin versus GDT prices.** Each percentage point is worth roughly VND 549 billion of pre-tax profit. WMP moved in a US\$3,486–3,706/ton range through 2026 and supply growth from the major exporters is forecast to slow to +0.2%, implying a tighter market.
- **Fresh-milk self-sufficiency.** Progress from ~50% toward ~60% as Tây Ninh Farm 2 comes on line is the single most durable margin lever available to management.
- **The SG&A mix.** A continued shift from brand marketing toward trade discounting would signal that share defence is becoming structurally more expensive.
- **Value share.** Stabilising the 38% share would materially de-risk the Bear case; further erosion would validate it.
- **Cash balance versus dividend policy.** With closing cash down 23.58% over five years, a weak earnings year would put the ≥50% payout and the cash buffer in direct tension.

Bottom line. Vinamilk is a financially sound, cash-generative market leader operating in a mature category where the binding constraint is margin, not demand. The balance sheet can absorb a bad year; the income statement cannot absorb a sustained commodity cycle without further vertical integration.

Appendix

Supporting data tables and source references

Appendix	Content
A	Consolidated balance sheet, FY2021-FY2025
B	Consolidated income statement, FY2021-FY2025
C	Consolidated statement of cash flows, FY2021-FY2025
D	Summary of key financial ratios
E	Horizontal analysis — year-over-year and cumulative change
F	Vertical analysis — common-size statements
G	Forecast assumptions and three-statement output
H	Market research data — commodity, demand, competition and FX
I	Glossary of terms
J	References

APPENDIX A — CONSOLIDATED BALANCE SHEET

VND million	2021	2022	2023	2024	2025
ASSETS					
Current assets	36,072,000	31,513,455	35,931,145	37,501,935	36,206,852
Non-current assets	18,165,023	18,139,373	18,301,346	19,491,541	19,884,653
Total assets	54,237,023	49,652,828	54,232,491	56,993,476	56,091,505
LIABILITIES & EQUITY					
Current liabilities	17,063,000	15,301,684	17,182,479	18,500,252	18,603,338
Non-current liabilities	1,002,000	961,129	1,266,286	1,326,716	1,918,834
Total liabilities	18,065,000	16,262,813	18,448,765	19,826,968	20,522,172
Total equity	36,172,023	33,390,015	35,783,726	37,166,508	35,569,333
Total liabilities & equity	54,237,023	49,652,828	54,232,491	56,993,476	56,091,505

Source: Vinamilk audited consolidated financial statements.

Note on methodology. All figures in Appendices A–C are reproduced from Vinamilk's audited consolidated financial statements in VND million. Ratios in Appendix D and the analytical percentages in Appendices E and F are calculated from those unrounded inputs at full formula precision, so minor differences may appear against figures rounded to VND billion in the body of the report. Forecast figures in Appendix G are team estimates and carry no assurance. Appendix H compiles the external market and macroeconomic data points used to interpret the historical results and to set forecast assumptions; each data point retains its original source for verification, with full citations in Appendix J.

APPENDIX B — CONSOLIDATED INCOME STATEMENT

VND million

Item	2021	2022	2023	2024	2025
Revenue	51,834,145	51,455,897	51,465,324	52,576,991	54,248,830
Cost of sales	(36,058,863)	(37,518,671)	(36,962,188)	(37,410,722)	(38,706,720)
Gross profit	15,775,282	13,937,226	14,503,136	15,166,269	15,542,110
Other income	289,152	151,747	247,786	116,826	127,990
Selling expenses	(3,337,278)	(3,500,662)	(3,746,874)	(3,728,884)	(3,778,583)
General & administrative expenses	(1,604,934)	(1,377,806)	(1,738,545)	(1,784,433)	(1,864,451)
Other losses / expenses	(73,778)	(405,340)	(149,501)	(105,888)	(140,903)
Results from operating activities	11,048,444	8,805,165	9,116,002	9,663,890	9,886,163
Finance income	1,102,804	1,210,690	1,546,046	1,456,409	1,406,020
Finance cost	(108,697)	(188,394)	(385,730)	(319,296)	(400,013)
Share of profit/(loss) of equity-accounted investees	(44,493)	(24,476)	(80,631)	32,003	(150,558)
Profit before tax	11,998,058	9,802,985	10,195,687	10,833,006	10,741,612
Income tax expense	(2,289,700)	(1,917,959)	(1,948,545)	(2,146,761)	(2,236,396)
Net profit	9,708,358	7,885,026	8,247,142	8,686,245	8,505,216

Source: Vinamilk audited consolidated financial statements.

APPENDIX C — CONSOLIDATED STATEMENT OF CASH FLOWS

VND million

Item	2021	2022	2023	2024	2025
Profit before tax	11,998,058	9,802,985	10,195,687	10,833,006	10,741,612
Net cash from operating activities	9,862,046	8,854,391	7,987,741	9,770,587	8,948,878
Net cash from/(used in) investing activities	(4,338,478)	3,472,772	(2,988,548)	(3,739,093)	1,976,101
Net cash used in financing activities	(5,282,241)	(12,387,406)	(4,360,557)	(6,725,620)	(11,362,292)
Net cash flows during the year	241,327	(60,243)	638,636	(694,126)	(437,313)
Cash and equivalents at beginning of year	2,111,243	2,348,552	2,299,944	2,912,027	2,225,944
Effect of exchange rate fluctuations	(2,270)	(1,729)	(673)	(60)	(60)
Currency translation differences	(1,748)	13,364	(25,880)	7,371	6,309
Cash and equivalents at end of year	2,348,552	2,299,944	2,912,027	2,225,944	1,794,880

Source: Vinamilk audited consolidated financial statements.

APPENDIX D — SUMMARY OF KEY FINANCIAL RATIOS

FY2021-FY2025

Category / ratio	2021	2022	2023	2024	2025
LIQUIDITY					
Current ratio (x)	2.1140	2.0595	2.0912	2.0271	1.9463
LEVERAGE					
Debt-to-equity (x)	0.4994	0.4871	0.5156	0.5335	0.5770
Equity multiplier (x)	1.4994	1.4871	1.5156	1.5335	1.5770
EFFICIENCY					
Asset turnover (x)	0.9557	1.0363	0.9490	0.9225	0.9671
PROFITABILITY					
Gross margin (%)	30.434	27.086	28.180	28.846	28.650
Operating (EBIT) margin (%)	21.315	17.112	17.713	18.380	18.224
Net profit margin (%)	18.730	15.324	16.025	16.521	15.678
ROA (%)	17.900	15.880	15.207	15.241	15.163
ROE (%)	26.839	23.615	23.047	23.371	23.912

Source: team calculations from Vinamilk audited FS, at full formula precision (unrounded inputs).

APPENDIX E — HORIZONTAL ANALYSIS

% change vs. prior period

Item	'22 vs '21	'23 vs '22	'24 vs '23	'25 vs '24	'21 → '25
BALANCE SHEET					
Current assets	-12.64%	+14.02%	+4.37%	-3.45%	+0.37%
Non-current assets	-0.14%	+0.89%	+6.50%	+2.02%	+9.47%
Total assets	-8.45%	+9.22%	+5.09%	-1.58%	+3.42%
Current liabilities	-10.32%	+12.29%	+7.67%	+0.56%	+9.03%
Non-current liabilities	-4.08%	+31.75%	+4.77%	+44.63%	+91.50%
Total liabilities	-9.98%	+13.44%	+7.47%	+3.51%	+13.60%
Total equity	-7.69%	+7.17%	+3.86%	-4.30%	-1.67%
INCOME STATEMENT					
Revenue	-0.73%	+0.02%	+2.16%	+3.18%	+4.66%
Cost of sales	+4.05%	-1.48%	+1.21%	+3.46%	+7.34%
Gross profit	-11.65%	+4.06%	+4.57%	+2.48%	-1.48%
Selling expenses	+4.90%	+7.03%	-0.48%	+1.33%	+13.22%
General & administrative expenses	-14.15%	+26.18%	+2.64%	+4.48%	+16.17%
Results from operating activities	-20.30%	+3.53%	+6.01%	+2.30%	-10.52%
Profit before tax	-18.30%	+4.01%	+6.25%	-0.84%	-10.47%
Net profit	-18.78%	+4.59%	+5.32%	-2.08%	-12.39%
CASH FLOW					
Net cash from operating activities	-10.22%	-9.79%	+22.32%	-8.41%	-9.26%
Cash and equivalents at end of year	-2.07%	+26.61%	-23.56%	-19.37%	-23.58%

Source: team calculations from Vinamilk audited FS.

APPENDIX F — VERTICAL ANALYSIS (COMMON-SIZE)

% of total assets / % of revenue / % of CFO

Item	2021	2022	2023	2024	2025
BALANCE SHEET — % OF TOTAL ASSETS					
Current assets	66.51%	63.47%	66.25%	65.80%	64.55%
Non-current assets	33.49%	36.53%	33.75%	34.20%	35.45%
Current liabilities	31.46%	30.82%	31.68%	32.46%	33.17%
Non-current liabilities	1.85%	1.94%	2.33%	2.33%	3.42%
Total liabilities	33.31%	32.75%	34.02%	34.79%	36.59%
Total equity	66.69%	67.25%	65.98%	65.21%	63.41%
INCOME STATEMENT — % OF REVENUE					
Cost of sales	69.57%	72.91%	71.82%	71.15%	71.35%
Gross profit	30.43%	27.09%	28.18%	28.85%	28.65%
Selling expenses	6.44%	6.80%	7.28%	7.09%	6.97%
General & administrative expenses	3.10%	2.68%	3.38%	3.39%	3.44%
Results from operating activities	21.31%	17.11%	17.71%	18.38%	18.22%
Profit before tax	23.15%	19.05%	19.81%	20.60%	19.80%
Net profit	18.73%	15.32%	16.02%	16.52%	15.68%
CASH FLOW — % OF OPERATING CASH FLOW					
Investing activities	−43.99%	+39.22%	−37.41%	−38.27%	+22.08%
Financing activities	−53.56%	−139.90%	−54.59%	−68.84%	−126.97%
Net change in cash	+2.45%	−0.68%	+8.00%	−7.10%	−4.89%
Cash at end of year	23.81%	25.98%	36.46%	22.78%	20.06%

Source: team calculations from Vinamilk audited FS.

APPENDIX G — FORECAST ASSUMPTIONS AND THREE-STATEMENT OUTPUT

FY2026F

Assumption	Base case	Bull case	Bear case
Revenue CAGR / growth	1.145%	5.3225%	1.96%
Gross margin	40.2%	41.9%	27.09%
SG&A / revenue	24.6%	24.5%	27.8%
Annual capex (VND bn)	4,128	4,778	2,988
Income tax rate	20%	20%	n/a (loss)
Depreciation & amortisation (VND bn)	2,000	2,000	2,000
THREE-STATEMENT OUTPUT (VND BN)			
Revenue	54,870.08	57,136.22	55,312.11
COGS	32,812.31	33,196.14	40,328.06
SG&A	13,498.04	13,998.37	15,376.77
Net income	6,847.78	7,953.37	(392.72)
Net cash generated	4,719.78	5,175.37	(1,380.72)
Δ PP&E	+4,128.00	+4,778.00	+2,988.00
Δ Retained earnings	+6,847.78	+7,953.37	(392.72)

Source: team model; base year revenue 2025 = VND 54,248.83 billion.

H.1 Global dairy commodity prices (GDT)

Indicator	Value	Source
Overall GDT price index (latest event)	+2.3% vs. prior event	AHDB, Global Dairy Trade events
Weighted average price, all products	US\$3,873/tonne	AHDB / Global Dairy Trade Holdings
WMP — 2 June 2026	US\$3,706/ton (−2.2%)	Cheese Reporter
WMP — 16 June 2026	US\$3,589/ton (−3.1%)	Dairy News 7x7 (GDT 406)
SMP — 16 June 2026	US\$3,368/MT (−3.6%)	Dairy News 7x7 (GDT 406)
WMP — 21 July 2026	US\$3,486/ton	Tridge Insights
SMP — 21 July 2026	US\$3,234/ton	Tridge Insights
WMP — 18 August 2026	US\$3,591/ton (+3.0%)	AHDB, Global Dairy Trade events
SMP — reference price	US\$3,502/ton	AHDB, Global Dairy Trade events
WMP / SMP move, start-2026 to Mar-2026	+11% / +18%	RaboResearch, Australia Agribusiness Monthly, Mar 2026
Global milk production, 2026E	+1% (slight decline in 2027)	Rabobank, Global Dairy Quarterly Q1 2026
“Big seven” exporter output growth, 2026F	+0.2% (vs. +2.6% in 2025)	Rabobank

H.2 Vietnam dairy market and FMCG demand

Indicator	Value	Source
Dairy import market, 2025	US\$1.5bn (+20% vs. 2024)	USDA FAS, Vietnam Dairy Market
Consumers	102 million (over half under 30)	USDA FAS
GDP per capita, 2025	US\$5,026 (2x ten years earlier)	USDA FAS
Milk consumption per capita	27 litres/year	Vietnam Dairy Association
Regional comparison	Thailand 35 l, Singapore 45 l, Europe 80–100 l	Vietnam Dairy Association
National targets	40 l by 2030; 70 l by 2045	Vietnam Dairy Association
Dairy & alternatives market value growth, 2026	+4% → VND 156.1 trillion	Euromonitor
GDP growth	8.0% YoY (government target met)	Vietnam FMCG Outlook 2026
FMCG CAGR 2020–2025	+7%	Vietnam FMCG Outlook 2026
Average monthly income per capita	VND 5.9 million	Vietnam FMCG Outlook 2026
FMCG shopping trips per household	145/yr (2019) → 124/yr (2025)	KL Marketing / Worldpanel
Stores & channels used per household	5.3 → 6.0 per year	KL Marketing / Worldpanel

H.3 Competition, company plans and FX

Indicator	Value	Source
VNM drinking-milk value share	46% (2021) → 38% (2026)	Euromonitor
Key competitors	TH True Milk, Nutifood	Euromonitor
Fresh-milk self-sufficiency (2024 data)	~50% of raw fresh milk input	Shinhan Securities, Feb 2026
FY2026 capex plan	VND 4,128 billion	VPBank Securities, AGM Note 2026
Mộc Châu farm	4,000 cows; completion Q2/2026	VPBank Securities
Tây Ninh Farm 2	8,000 cows; ≈VND 1,600bn; +~10 ppt self-sufficiency	VPBank Securities
Bình Định farm	4,000 cows; groundbreaking Q2/2026	VPBank Securities
Marketing cost / revenue	~4.0% → 1.8% (2024); discount expense ~15.1%	FiinGroup, VNM Annual Report 2025
SG&A / net sales, Q1/2025	24.5%–27.8%	Viet Dragon Securities (VDSC)
Advertising & marketing spend, 2025E	+5%; SG&A/revenue ~24.6%	KB Securities
Revenue forecast 2026	VND 66,242bn (+4.1%); SG&A/revenue 24.7%	VNDirect, 17/3/2026
Revenue / net profit forecast 2026	VND 62,255bn / VND 9,020bn (−1.8%)	SSI Research
USD/VND forecast	26,400 (2Q26) → 26,200 (3Q26) → 26,100 (4Q26) → 26,000 (1Q27)	UOB, Quarterly Global Outlook 2Q2026
Long-run dairy industry CAGR	9.5%	IMARC Group, 2024
Dividend policy	≥50% of net profit	Vinamilk AGM resolutions, 2026

Term	Definition
CAGR	Compound annual growth rate — the constant annual rate that reconciles a starting and ending value over a period.
CAPEX	Capital expenditure — cash spent on acquiring or upgrading fixed assets such as farms and plant.
CFO / CFI / CFF	Cash flow from operating / investing / financing activities.
COGS	Cost of goods sold (cost of sales) — direct cost of producing goods sold in the period.
D/E	Debt-to-equity ratio — total liabilities divided by total equity.
DuPont analysis	Decomposition of ROE into net profit margin × asset turnover × equity multiplier.
EBIT	Earnings before interest and taxes — the operating margin measure used in this report.
EBT	Earnings before tax.
FMCG	Fast-moving consumer goods — frequently purchased everyday products, of which dairy is a sub-category.
G&A	General and administrative expenses — office salaries, management and overhead costs.
GDT	Global Dairy Trade — the international dairy auction platform whose fortnightly results are the benchmark price reference for the global dairy industry.
Horizontal analysis	Comparison of financial statement line items across periods, expressed as year-over-year percentage change.
ROA / ROE	Return on assets / return on equity.
SG&A	Selling, general and administrative expenses — operating costs not directly tied to production.
SMP	Skim milk powder — imported dairy input with most fat removed.
Vertical analysis	Common-size analysis expressing each income statement line as a % of revenue and each balance sheet line as a % of total assets.
WMP	Whole milk powder — the principal imported dairy input, retaining natural fat content.

APPENDIX J — REFERENCES

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